RISK MANAGEMENT PROCESS

Learning Outcome

- define risk management

Risk, broadly speaking, is exposure to uncertainty. Risk is also the concept used to describe all of the uncertain environmental variables that lead to variation in and unpredictability of outcomes. More colloquially, risk is about the chance of a loss or adverse outcome as a result of an action, inaction, or external event.

This last view may make it sound as if risk is something to be avoided. But that is not at all the case. Risk is a key ingredient in the recipe for business or investment success; return without risk is generally a false hope and usually a prescription for falling short of one's goals. Risks taken must be carefully chosen, understood, and well-managed to have a chance at adding value through decisions. Risk and return are the interconnected forces of the financial universe. Many decision makers focus on return, which is not something that is easily controlled, as opposed to risk, or exposure to risk, which may actually be managed or controlled.

Risk exposure is the extent to which the underlying environmental or market risks result in actual risk borne by a business or investor who has assets or liabilities that are sensitive to those risks. It is the state of being exposed or vulnerable to a risk. Risk exposure results from the decisions of an organization or investor to take on risk-sensitive assets and liabilities.

Suppose there is an important announcement in Japan that will result in the yen either appreciating or depreciating by 1%. The range of possible outcomes in real situations is clearly not as simple as the up-or-down 1% case used here, but we will use a simplified example to make an important point. The risk is the uncertain outcome of this event, and the currency risk to a non-Japanese business is the uncertain return or variation in return in domestic currency terms that results from the event. The risk can be described as the range of resulting outcomes and is often thought of in terms of a probability distribution of future returns. Suppose that the underlying amount is ¥1,000,000. The risk exposure of a business may be zero or it could be sizable, depending on whether the business has assets or liabilities tied to this risk—in this case, exposure to that currency. One million yen would, in this example, result in ¥10,000 of risk exposure (1% of ¥1,000,000). Risk management would include, among other things, quantifying and understanding this risk exposure, deciding how and why to have the exposure and how much risk the participant can bear, and possibly mitigating this risk by tailoring the exposure in several ways. The risk management process would inform the decision of whether to operate or invest in this risky currency.

The word "risk" can be confusing because it is used by different people at different times to mean so many different things. Even when used properly, the term has three related but different meanings, which this example illustrates well. Risk can mean, in turn, the underlying uncertainty, the extent of the risky action taken, or the resulting range of risky outcomes to the organization. In this example, the first meaning is the uncertain +1% or –1% movement of the currency. The second meaning is the ¥1,000,000 worth of risky currency, the position taken by the business. The third meaning is the +¥10,000 or –¥10,000 risky outcome that might accrue to the business for having engaged in this risky activity. A common way of more precisely distinguishing among these three "risks" in usage is: *risk driver* for the underlying risk, *risk position* to describe or quantify the risky action taken, and

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driver. In practice the term "risk" is used interchangeably for all three meanings.

> ***Risk management*** *is the process by which an organization or individual defines the level of risk to be taken, measures the level of risk being taken, and adjusts the latter toward the former, with the goal of maximizing the company's or portfolio's value or the individual's overall satisfaction, or utility.*

Said differently, risk management comprises all the decisions and actions needed to *best* achieve organizational or personal objectives while bearing a tolerable level of risk. Risk management is *not* about minimizing risk; it is about actively understanding and embracing those risks that best balance the achievement of goals with an acceptable chance of failure, quantifying the exposure, and continually monitoring and modifying it. A company that shied away from all risk would find that it could not operate. In trying to create wealth, all organizations will find themselves "in the risk business." Risk management is not about avoiding risks any more than a practical diet is about avoiding calories. Risk management is not even about predicting risks. "The Doctrine of No Surprises" is a key mantra among many risk managers, but it does not mean they are expected to predict what will happen. Instead, it means that if an unpredictable event, either positive or negative, happens in an uncertain world, the *impact* of that event on the organization or portfolio would not be a surprise and would have been quantified and considered in advance.

For example, a risk manager of a bank would not have been expected to know that a real estate crisis was going to occur and cause significant defaults on the bank's real estate securities. But a good risk manager would help the bank's management decide how much exposure it should have in these securities by quantifying the potential financial impact of such a crisis destroying, say, 60% of the bank's capital. A good risk management process would include a deep discussion at the governance level about the balance between the likely returns and the unlikely—but sizable—losses and whether such losses are tolerable. Management would ensure that the risk analysis and discussion actively affects their investment decisions, that the potential loss is continuously quantified and communicated, and that it will take actions to mitigate or transfer any portion of the risk exposure that cannot be tolerated.[1] The only surprise here should be the market shock itself; the risk manager should have prepared the organization through stress-testing and scenario analysis, continuously reporting in advance on the potential impact of this sizable risk exposure.

A poor risk management process would have ignored the possibility, though small, of such a significant market event and not quantified the potential loss from exposure to a real estate crisis. As such, the bank's management would have had no idea that more than half of the bank's capital could be at risk, not addressed this risk in any governance/risk appetite discussion, ignored these risks in its investment decisions, and not taken any action to mitigate this risk. In a good risk management process, most of the work is done before an adverse event happens; in a poor risk management process, perhaps just as much work gets done, but it all comes after the event, which is after the damage has been done.

Good risk management does not prevent losses, but provides a full top-to-bottom framework that rigorously informs the decision-making process—before, during, and after a risk event. Because risks and exposures are dynamic, risk management is a continuous process that is always being reevaluated and revised. If this process is done well, it provides management and staff with the knowledge to navigate as efficiently as possible toward the goals set by the governing body. In turn, this effort increases *ex ante* the value of the business or investment decisions undertaken. Good risk management may allow managers to more quickly or effectively act in the face of a crisis. But *ex post*, even the best risk management may not stop a portfolio from losing money in a market crash nor prevent a business from reduced profits in an economic downturn.

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